

Menon Bearings Ltd

Concall Tracker · Q1 2027 (covers calls up to Q1 FY27, held 17 Jul 2026) · Screener ticker: MENONBE

Two questions: (1) Is there a durable earning trigger? (2) Has management been consistent about it?

1. Snapshot

What the business does: A Kolhapur-based auto-components maker with three linked businesses — **Menon Bearings** (bi-metal engine bearings, bushes and thrust washers — the core, ~74% of group sales), **Menon Alkorp** (aluminium die-castings, ~22%) and **Menon Brakes** (brake linings, pads and friction material, ~3%). It makes money by supplying critical, high-value-add engine and drivetrain parts to tractor, truck (HCV/LCV), off-highway, industrial and — increasingly — export and EV customers. Marquee clients include John Deere (single-source for 20+ years), Escorts-Kubota, TAFE, Tata Motors, Cummins, Bajaj Auto and, in the US, Allison Transmission and Federal-Mogul.

Metric (Screener snapshot)	Value	Plain read
Market cap	₹1,199 cr	Total stock-market value of the company — a small-cap.
Stock P/E	35.2	Investors pay ₹35 per ₹1 of yearly profit — a rich multiple, so the market already expects strong growth.
FY26 sales (standalone)	₹217 cr	Bi-metal parent's sales, up ~30% on FY25's ₹167 cr — a sharp recovery year.
FY26 net profit (standalone)	₹33 cr	Parent's profit, up ~65% on FY25's ₹20 cr as demand and margins rebounded.
FY26 group revenue (consolidated)	~₹290 cr	Whole group incl. Alkorp + Brakes; management's headline number, ~19% up on FY25.
ROCE / ROE	27.1% / 22.9%	Earns ₹27 / ₹23 a year on every ₹100 of capital / equity — highly capital-efficient.
Borrowings (Mar 2026)	₹27 cr	Tiny against ~₹154 cr net worth — effectively debt-light; expansion funded from internal cash.

Note: the Screener profit-and-loss table is *standalone* (bi-metal parent only). The three-business *consolidated* figures quoted on the calls are larger and are used through the rest of this report where management cited them.

2. Concall coverage

All ten transcripts available on Screener were read — a full ~3-year history from the company's first-ever earnings call (May 2023) to the latest (Jul 2026). This is a fresh (no-prior) report.

Call period	Date	Read?
Q4 & FY23 (first-ever call)	02 May 2023	Yes
Q2 & H1 FY24	17 Nov 2023	Yes
Q4 & FY24	14 May 2024	Yes
Q2 & H1 FY25	25 Oct 2024	Yes
Q4 & FY25	20 May 2025	Yes
Q1 FY26	30 Jul 2025	Yes
Q2 & H1 FY26	29 Oct 2025	Yes
Q3 & 9M FY26	16 Jan 2026	Yes
Q4 & FY26	May 2026	Yes
Q1 FY27 ★ latest	17 Jul 2026	Yes (deep read)

★ Latest concall highlights — Q1 FY27 (call 17 Jul 2026)

- **Record quarter.** Group (consolidated) revenue ₹91.79 cr, up 36.6% year-on-year; profit up 67% with earnings per share of ₹2.52 vs ₹1.50 — the highest-ever quarterly sales, operating profit and net profit in the company's history. The bi-metal parent alone did ₹67.06 cr (+40.4%) with ₹11.23 cr profit (+63.5%).
- **US/Canada trip is the big new catalyst.** A June 2026 visit (Detroit, Cleveland) brought fresh enquiries (RFQs) and non-disclosure agreements from Magna (which buys ~₹1,800 cr of bearings a year), Linamar and Allison. Management pegs ₹65–75 cr of extra business over this year and next — real new demand, not yet in the base.
- **Guidance nudged up.** FY27 group revenue guided at ₹360 cr (called "conservative"), 20%+ growth, possibly 25%. The ₹500 cr milestone — earlier a 2030 goal — is now pulled forward to "the next 2–3 years."
- **Brakes finally moving.** The long-delayed brake dynamometer (test rig needed for railway approval) is to be commissioned by Aug–Sep 2026, opening ₹5–6 cr of railway business in year one, scaling to ₹25–30 cr in two years. Brakes operating margin jumped to 25% this quarter on a favourable product mix.

- **Tone: very confident, promotional.** Management repeatedly said "bright future," but flagged real headwinds — the Strait-of-Hormuz war stalled African merchant-export orders for three months (now restarted), carbide-tool costs up 300%, aluminium volatile, and a patchy monsoon that could hit tractors.

Business mix & capacity (quick facts)

Domestic vs export: Exports ~36% of revenue and rising (Q3 FY26), domestic ~64% — so roughly two-thirds of sales are still within India, but the growth is coming from abroad. Management targets ~40% exports by FY27, led by the US and Africa.

Capacity utilization (Q1 FY27): bi-metal ~80–87%, aluminium ~65–70%, brakes ~65–70%; the third shift is not run at full, so there is meaningful headroom before new lines are needed. A ₹9–10 cr modular spend this year lifts bi-metal capacity 25–30%. Management says bi-metal alone can reach **peak revenue above ₹400 cr with no new land**, and the whole group can hit ₹500 cr on the current footprint with only "modular" capex (future asset turn ~2.5x), funded from internal cash.

3. Earning-trigger thesis

The headline driver

The main thing management points to is a **broad export- and Alkop-led growth push riding the "China plus one / Europe plus one" sourcing shift**: global auto and off-highway buyers are moving orders to trusted Indian suppliers, and Menon — a 30-year, single-source vendor to names like John Deere with certified zero-reject quality — is winning bearing, casting and washer business from Allison, Federal-Mogul, Magna, Linamar and others. Layered on top are the aluminium die-casting ramp (with early EV parts) and a small, long-promised brakes/ railway option. After two flat-to-down years (FY24–FY25), this thesis is now visibly converting — the FY26 recovery and the record Q1 FY27 are the proof.

Trigger	What management said	Evidence so far	Horizon	Strength
Export ramp (US/ Canada/Europe, China+1)	Export share 36%→40%; ₹65–75 cr new business from US/Canada trip; RFQs/ NDAs from Magna, Linamar, Allison, Federal-Mogul.	Export share rose ~30%→36% through FY26; Allison (~₹30 cr/yr) now live; record Q1 FY27 largely export-driven.	1–3 yrs	Strong — named blue-chip customers, already converting into results.
Menon Alkop (aluminium die-casting + EV)	Alkop to reach ₹100 cr in FY27, ₹125 cr FY28; EV parts 8–10% of Alkop; capacity 1,440→2,880 tonnes.	Alkop running ~₹20–21 cr/quarter (~₹85 cr FY26); 50–63 new parts (John Deere, Eaton, Concentric, TACO) productionising; EV at ~4–5%.	1–3 yrs	Moderate–Strong — real ramp under way; EV still early.
Capacity headroom + operating leverage	Group can reach ₹400–500 cr on current footprint with only modular capex; margins 20–22% sustainable.	FY26 rebound + record Q1 FY27; brakes margin lifted 3%→12%→25%; RM pass-through delivered in H2 FY26.	Ongoing	Moderate — leverage is real but margin depends heavily on product mix.
Menon Brakes → railway / OEM	Dynamometer live Aug–Sep 2026 → railway ₹5–6 cr yr-1 scaling to ₹25–30 cr in 2 yrs; OEM brake wins.	Still not commissioned after 2+ years of promises; brakes only ~3% of group revenue.	2–3 yrs	Weak / Unproven — repeatedly delayed; treat as optionality, not base case.

4. Management-consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2023 (debut)	"20%+ growth in FY24," both bi-metal and Alkop.	FY24 group revenue fell ~2% to ₹214 cr; guidance cut to ~12% mid-year (tractor slowdown + Japan recession).	Missed
2023–24	₹400 cr revenue "by end FY25" at full capacity.	Group did ₹244 cr (FY25) and ~₹290 cr (FY26); target quietly re-dated to "2–3 years."	Missed / stretched
May 2025	FY26 ~₹300 cr, EBITDA >22%, recover the raw-material cost squeeze.	FY26 ~₹290 cr (~19% growth); margins recovered in H2; profit rebounded strongly (Q3 PAT +69%).	Partly — recovery delivered, headline number just short.
Q2 FY26	H2 margin to recover to ~20% after a weak Q2 (~15.6%).	Q3 FY26 margin back to ~20.5%; momentum carried into a record Q1 FY27.	Delivered
Since 2023	Brakes dynamometer / railway business — "on-site Sep 2025."	Slipped to Q3/Q4 FY26, then to Aug–Sep 2026 (vendor changed); railway revenue still zero.	Missed (repeatedly)
2024	Alkop ~₹75 cr (originally an FY24 goal).	Slipped to "next year"; now framed as ₹100 cr for FY27.	Partly / delayed

Narrative drift: The *direction* of the story has been remarkably steady for three years — exports + Alkop + brakes optionality on the China+1 tailwind — and the FY26 recovery plus the record Q1 FY27 finally validate it. But the *numbers and timelines* attached to that story are elastic: growth

guidance was cut from 20%+ to 12% in FY24, the ₹400 cr and ₹500 cr milestones keep sliding out, the "double revenue in 3 years" ambition became 4 years, and the brakes dynamometer has been "a few months away" for over two years. Each call also tends to add fresh optionality (EV, Africa, Canada, Europe, defence, even a Tesla/humanoid aside) while the core recovers. Management is credible on the near-term recovery and margins, but leans promotional on the long-dated targets.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, still-live driver: an export- and Alkop-led ramp backed by named global customers (Allison, Federal-Mogul, Magna, Linamar, John Deere), sitting on a debt-light balance sheet with capacity headroom to roughly double revenue on modest modular capex. Crucially, after two soft years it is now *showing up in the numbers* — a strong FY26 recovery and a record Q1 FY27 (group revenue +37%, profit +67%). The brakes/railway leg remains unproven and should be treated as upside only, but the core trigger is real and delivering.

Management consistent? → MAYBE

Mixed record. On the positive side, management delivered the promised FY26 demand-and-margin recovery, passed through raw-material costs as they said they would, and has kept the strategic story steady for three years. Against that, the bold headline targets and timelines have repeatedly slipped — growth guidance cut mid-cycle, the ₹400 cr / ₹500 cr milestones pushed out, the doubling stretched from three to four years, and the flagship brakes dynamometer delayed for over two years — and the commentary is consistently promotional with new optionality added each quarter. Steady direction, but elastic promises: a MAYBE, not a YES.

Sources: Menon Bearings Ltd earnings-call transcripts (Screener.in), May 2023 – Jul 2026, and Screener financial snapshot. This is not investment advice. Do your own due diligence.